SNIPPET 04 · FREE · XAUUSD

WHERE THE STOP GOES

The stop marks where the idea is wrong. Not where the loss starts to hurt.

Two placements, two outcomes. Put the stop at a price that means something and a loss becomes information. Put it at a number that feels comfortable and you are donating to the spike.

LENGTH	LEVEL	RECORD
4 pages	Beginner	Reviewed by Sam

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PART I

BEHIND THE LEVEL, PLUS A BUFFER

Every entry rests on a claim: this band will hold. The stop belongs at the first price that proves the claim false — just beyond the far side of the band, with room for gold's habit of spiking through and snapping back.

On XAUUSD that buffer is not decoration. Wicks of 40–80 pips past a level are routine in the London–New York overlap, and a stop parked exactly on the band edge gets collected on the way to the move you wanted.

PLACEMENT	WHAT IT DOES
Beyond the far edge, plus a spike buffer Do	The market has to actually break your idea to take you out.
A round pip count you can afford Don't	A size problem wearing a stop's clothes. Fix it with the lot, not the stop.
Moved further away as price approaches Never	The only stop you may move is one going to breakeven or in your favour.

Targets follow the same logic in reverse. They go where price is likely to meet opposition: the next band, the previous day's extreme, the round number above. Not at a pip count you picked because it sounded good.

PART II

ONE STRUCTURE, TWO ENDINGS

Same setup, written out twice. This is what a plan looks like before the outcome is known — and both endings are ordinary.

SELL | EXAMPLE

ENTRY

Wick test of the H4 resistance band

STOP

250 pips above the band

TP1 · TP2

250 pips · 500 pips

MANAGEMENT

Stop to breakeven when TP1 fills

ENDING A

+2R

TP1 fills, stop goes to breakeven, TP2 fills on the New York leg. Half at +1R, half at +2R.

ENDING B

−1R

A body close above the band. The idea was wrong, the stop did its job, and the trade is published exactly like ending A.

Notice what does not change between the endings: the entry, the stop, the targets and the size were all fixed before the first candle. The only thing the market decided was which ending you got.

BREAKEVEN IS A DECISION, NOT A REFLEX

Move to breakeven when structure has moved, usually at TP1. Doing it early turns a good trade into a scratch; doing it never turns a scratch into a loss.

NEXT

THREE THINGS TO DO THIS WEEK

1. Before any entry, write the price that would prove you wrong. That price is the stop.
2. Measure the largest wick past your marked band this week and use it to set your buffer.
3. Write both endings before you click. If you cannot accept ending B, do not take the trade.

WHERE THE SIGNALS LIVE

Entry, stop and both targets are stated up front — and the −1R days are published with the same weight.

Open the bot →

t.me/samproducts_bot

NEXT SNIPPET

Snippet 05 — Reading R.

Why win rate on its own tells you nothing, and what to count instead.
